



BUS-1023 Applied Mathematics

CLO 2.4

Gross Pay for Piecework, Straight
Commission with Draw, Variable Commission
Scale and Salary Plus Commission.

Monday, September 21, 2026



Calculating Various Types of Employees' Gross Pay

- 1) Gross pay based on time worked
- 2) Gross pay using straight piece rate
- 3) Differential Pay
- 4) Straight Commission with Draw
- 5) Variable Commission
- 6) Salary Plus Commission



1) Gross pay based on time worked

Review:

Gross Pay = Hours employee worked X Rate per hour

- *For every hour more than 40 hours regular work week, overtime is paid at 1.5 times the regular payrate.*

Hourly Overtime Pay Rate = Regular hourly pay rate X 1.5

- *Gross pay is the sum of regular pay and overtime pay.*

Gross Pay = Earnings for 40 hours + Earnings at time and a half rate (1.5)



Review Example 1:

Calculate Ramon's gross pay from the following data.

Employee	M	T	W	Th	F	S	Total hours	Rate per hour
Ramon Valdez	13	$8\frac{1}{2}$	10	8	$11\frac{1}{4}$	$10\frac{3}{4}$	$61\frac{1}{2}$	\$9

$$\begin{array}{r} 61\frac{1}{2} \text{ total hours} \\ - 40 \text{ regular hours} \\ \hline 21\frac{1}{2} \text{ hours overtime}^1 \end{array} \quad \text{Time-and-a-half pay: } \$9 \times 1.5 = \$13.50$$
$$\begin{aligned} \text{Gross pay} &= (40 \text{ hours} \times \$9) + (21\frac{1}{2} \text{ hours} \times \$13.50) \\ &= \$360 + \$290.25 \\ &= \$650.25 \end{aligned}$$





2) Gross pay using straight piece rate

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Gross Pay = Number of units produced X Rate per unit

Example 2:

Last month, Ryan produced 900 dolls. If the piece rate is \$0.96, then

$$\text{Gross Pay} = 900 \times 0.96 = \$ 864$$



3) Differential Pay Schedule

Example 3:

First 50 →

Next 100 →

Next 50 →

Units produced	Amount per unit
1–50	\$.50
51–150	.62
151–200	.75
Over 200	1.25

Last week Abby produced 300 dolls. What is Abby's gross pay?

Logan calculated Abby's gross pay as follows:

$$\begin{array}{rccccccccccc} (50 \times \$0.50) & + & (100 \times \$0.62) & + & (50 \times \$0.75) & + & (100 \times \$1.25) & & & & \\ \$25 & + & \$62 & + & \$37.50 & + & \$125 & = & \$249.50 \end{array}$$





4) Straight Commission with Draw

A certain percentage (%) of the amount the salesperson sells.

Advance on the salesperson's commission – this is being subtracted later from the commission.

Commission – is a fee or percentage of interest paid for sales made. A commission may be an amount for each item sold, or it may be a percent of the value of sales.

This is usually paid to salespeople as an incentive to sell more.





4. Straight Commission with Draw:

Example 4:

Logan Company pays Jackie Okamoto a straight commission of 15% on her net sales (net sales are total sales less sales returns). In May, Jackie had net sales of \$56,000. Logan gave Jackie a \$600 draw in May. What is Jackie's gross pay?

Logan calculated Jackie's commission minus her draw as follows:

$$\begin{array}{r} \$56,000 \times .15 = \$8,400 \\ - \quad 600 \\ \hline \$7,800 \end{array}$$



5) Variable Commission Scale

- Uses different commission rates for levels of net sales.

Example 5:

Last month, Jane Ring's net sales were \$160,000. What is Jane's gross pay based on the following schedule:

SALES	Commission Rates
Up to \$35,000	4%
Excess of \$35,000 to \$45,000	6%
Over \$45,000	8%

$$\begin{aligned}\text{Gross pay} &= (\$35,000 \times .04) + (\$10,000 \times .06) + (\$115,000 \times .08) \\ &= \$1,400 + \$600 + \$9,200 \\ &= \$11,200\end{aligned}$$





6) Salary Plus Commission

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Example 6:

Logan Company pays Joe Roy a \$3,000 monthly salary plus a 4% commission for sales over \$20,000. Last month Joe's net sales were \$50,000. Logan calculated Joe's gross monthly pay as follows:

$$\begin{aligned}\text{Gross pay} &= \text{Salary} + (\text{Commission} \times \text{Sales over } \$20,000) \\ &= \$3,000 + (.04 \times \$30,000) \\ &= \$3,000 + \$1,200 \\ &= \$4,200\end{aligned}$$



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